

Value Creation Integration Office - Steering Committee Minutes, Session 01

Approved and signed record of the first Steering Committee meeting after close. This document supersedes the draft circulated on 15 September 2016 and is the binding record of the decisions in section 4.

Document	Steering Committee Minutes, session 01, approved
Programme	Dell Technologies Integration, run by the Value Creation Integration Office (VCIO)
Parties	Dell Inc. and EMC Corporation, combined as Dell Technologies
Meeting date	15 September 2016, day 8 after Day 1
Approved and signed	22 September 2016
Chair	A. Vasquez, VCIO Programme Director
Minutes taken by	S. Lindqvist, VCIO Reporting Lead
Distribution	Steering Committee members, workstream leads, executive sponsor
Classification	Strictly confidential
Version and status	v1.0, approved and signed

1. Attendance

Name	Role	Organisation	Voting member	Attendance
A. Vasquez	VCIO Programme Director	Dell Technologies	No, chairs	Present
D. Okonjo	VCIO Integration Manager	Dell Technologies	No	Present
S. Lindqvist	VCIO Reporting Lead	Dell Technologies	No	Present
M. Haddad	Value Realisation Controller	Dell Technologies	No	Present
P. Nakamura	Integration Risk Officer	Dell Technologies	No	Present
E. Brannigan	Change and Communications Lead	Dell Technologies	No	Present
R. Whitfield	Workstream Lead, Finance	Dell Technologies	Yes	Present
N. Devereux	Workstream Lead, Tax	Dell Technologies	Yes	Present
T. Bergström	Workstream Lead, IT	Dell Technologies	Yes	Present
V. Osei-Bonsu	Workstream Lead, Human Capital (until 16.09.2016)	Dell Technologies	Yes	Present
K. Matsuda	Workstream Lead, Supply Chain	Dell Technologies	Yes	Present
L. Kowalczyk	Workstream Lead, Go-to-Market	Dell Technologies	Yes	Present
F. Ricciardi	Workstream Lead, Real Estate	Dell Technologies	Yes	Apologies, represented by D. Okonjo
H. Wegener	Regional Integration Lead, DACH	DACH region	No	Present
C. Ferreira	Engagement Manager, Deloitte Consulting LLP	Deloitte Consulting LLP	No	Present

Quorum confirmed: all 7 voting members, the workstream leads, were present or represented. The chair does not vote.
Agenda approved without change.

2. Integration status noted

The committee noted the status as at 15 September 2016, day 8 after close. All three Day 1 milestones were achieved on the day, including the employee welcome guide for 140,000 employees and the sales runbook for more than 40,000 sales professionals.

The committee challenged two items. First, the office was reporting secured synergy above the figure Finance could validate. Second, status was arriving in six different formats and reconciliation was consuming analyst capacity intended for analysis. Both were converted into decisions, recorded below.

Workstream	RAG reported	RAG accepted	Committee position
WS1 Finance	Green	Green	Noted

Workstream	RAG reported	RAG accepted	Committee position
WS2 Tax	Amber	Amber	Challenged, mitigation requested
WS3 IT	Amber	Amber	Challenged, mitigation requested
WS4 Human Capital	Amber	Amber	Challenged, mitigation requested
WS5 Supply Chain	Green	Green	Noted
WS6 Go-to-Market	Green	Green	Noted
WS7 Real Estate	Green	Green	Noted

3. Decisions taken

Each decision below is binding from the date recorded and was carried without dissent.

ID	Decision	Rationale recorded	Implementation owner	Effective from	Affects
B-01	Adopt the value prioritisation framework as the single basis for sequencing integration work	Focus the office on the fifth of the opportunities that carries most of the accretive value, seen through a customer-first lens	A. Vasquez	15 September 2016	all
B-02	Mandate the integration tracker as the single source of truth for tasks, milestones and dates	Six reporting formats were reaching the office and reconciliation was consuming the analyst capacity intended for analysis	S. Lindqvist	15 September 2016	all
B-03	Require both workstream leads to confirm every cross-workstream handover date in the dependency register	Teams understand their own responsibilities but not how their activities land on others; unconfirmed handovers were the largest single source of slippage	D. Okonjo	15 September 2016	all
B-06	Count only Finance-validated initiatives towards secured synergy	Reported secured value was running ahead of what the baseline could support	M. Haddad	15 September 2016	all

4. Actions agreed

Action OP-01 is recorded against D. Okonjo, VCIO Integration Manager.

ID	Action	Owner	WS	Due date	Source
OP-01	Circulate the refreshed cross-workstream dependency map to all leads	D. Okonjo	WS3	23 September 2016	SteerCo session 01, 15 September 2016
OP-02	Report the ERP blueprint recovery plan with a dated forecast	T. Bergström	WS3	29 September 2016	SteerCo session 01, 15 September 2016
OP-03	Confirm the works council consultation timetable in writing	W. Kempowski	WS4	30 September 2016	SteerCo session 01, 15 September 2016
OP-04	Reconcile reported secured synergy to the Finance-validated figure	M. Haddad	WS1	28 September 2016	SteerCo session 01, 15 September 2016

5. Risks escalated to and accepted by the committee

ID	Risk	Workstream	L x I	Band	Mitigation endorsed	Owner
R-01	Legacy ERP upgrade at the target collides with the integration design, delaying the consolidation blueprint	WS3 IT	4 x 5 = 20	High	Freeze the legacy upgrade scope, run a joint architecture session, resequence the blueprint against the Day 100 commitment	T. Bergström
R-04	Key talent attrition in the combined field organisation before the coverage model is in force	WS4 Human Capital	3 x 5 = 15	High	Confirm retention packages for named critical roles, bring the coverage model communication forward	J. Adeyemi
R-06	Entity rationalisation slips and delays the transfer pricing model, creating an exposure at the first combined year end	WS2 Tax	3 x 4 = 12	Medium	Escalate the entity chain review, run the transfer pricing outline in parallel rather than in sequence	N. Devereux
R-11	Debt service constrains discretionary integration spend below the level the plan assumes	WS1 Finance	2 x 5 = 10	Medium	Re-phase cost to achieve into the following financial year for initiatives that are not on the critical path	R. Whitfield

The committee confirmed the escalation threshold at severity 15 and required any risk reaching it to appear in the pack of the next session without further filtering.

6. Items deferred

Item	Reason for deferral	Deferred to	Additional input required
Day 100 scope decision	The ERP blueprint recovery plan was not yet available, so the committee could not judge what scope would have to move	Session 02, 29 September 2016	Recovery plan with a dated forecast from T. Bergström
Site consolidation plan for EMEA	Lease expiry analysis incomplete	Session 03	Completed analysis from F. Ricciardi

7. Next meeting

Date	29 September 2016, session 02
Focus topics	Day 100 scope decision, ERP blueprint recovery plan, works council consultation timetable
Papers due to members by	28 September 2016

8. Approval

By signing, the chair and the minute taker confirm that these minutes are a true record of the meeting and that the decisions recorded in section 3 were taken as stated. Amendments after signature require a corrigendum tabled at the following session.

A. Vasquez
VCIO Programme Director

D. Okonjo
VCIO Integration Manager

S. Lindqvist
VCIO Reporting Lead

Signature and date

Signature and date

Signature and date

Sources for the case anchoring

1. EMC Corp, Form 8-K Exhibit 99.1, filed 7 September 2016 (SEC EDGAR)
2. Deloitte Global, 'Dell, EMC, and Deloitte create the next tech icon: a technology M&A; case study', deloitte.com
3. Dell Technologies press release, 7 September 2016

Synthetic document. The case anchoring, meaning the entities, the transaction value, the close date, the governance structure and the workstream cut, follows publicly available sources listed at the end. All operational names, figures, risks, decisions and synergy values are invented, internally consistent, and are not a representation of what any party actually did.